

Palantir Technologies Inc.

PLTR NYSE

Hold	\$132.72 ▲ 0.25%	12M Price Target \$145.00	52-Week Range \$106.37 – \$207.52	Market Cap \$318.16B
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PLTR: Richly Valued But Policy Winds Still at Its Back

WHAT HAPPENED

- Quiet tape today — stock basically flat at \$132.71 on light summer volume (only ~6.9M shares vs 30M+ recent days). That thin volume matters: it means one big buyer or seller can push the price around, so don't read too much into small moves this week.
- The narrative shift overnight is all about valuation — three separate articles (Motley Fool, StockStory, Zacks) are essentially asking "is this still worth it at 40x sales?" When the story rotates from "growth story" to "is it too expensive," that's usually a sign the easy money has been made and the stock needs a new catalyst to break out.

WHY IT MATTERS

Here's the thing — PLTR is trading at ~40x forward sales (meaning investors pay \$40 for every \$1 of revenue the company will generate next year), which is roughly 5x what a normal software company trades at. That premium only holds if government AI spending keeps accelerating AND commercial adoption ramps hard. The good news: the political backdrop is unusually supportive right now — the Trump administration's push to embed AI across DoD, ICE, and intelligence agencies is a direct tailwind, and Palantir is the incumbent vendor on most of those contracts. The bad news: Director Alexander Moore just dumped ~\$2.1M in stock last week, and while insider selling isn't always a red flag, it's telling when it happens at these valuation levels — insiders don't usually sell aggressively when they think the next leg up is imminent.

POLICY & POLITICAL WATCH

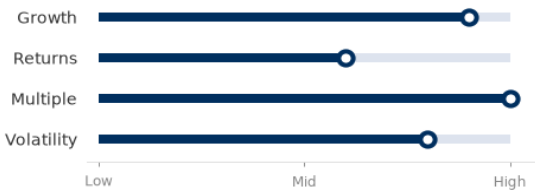
The FY2027 defense authorization debate is the single biggest thing to watch — the House Armed Services Committee has been pushing to expand the "Software Acquisition Pathway" that lets the Pentagon fast-track AI vendors like Palantir without traditional procurement delays. If that expansion passes (expected fall 2026 markup), PLTR's addressable government pipeline could grow meaningfully. Also on the radar: the ongoing US-Iran tensions referenced in today's Ondas headline — geopolitical instability historically drives supplemental defense appropriations, and Palantir's Gotham platform is a direct beneficiary. The one policy risk nobody's pricing in: potential EU AI Act enforcement actions against US AI vendors doing government work, which could squeeze their European commercial expansion.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$132.72
12M Price Target	\$145.00
Upside / (Downside)	+9.3%
Market Cap	\$318.16B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,300M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.85
Fwd P/E	214.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$145.00	\$134.00	\$118.00
6 Months	\$175.00	\$140.00	\$105.00
1 Year	\$210.00	\$145.00	\$90.00
2 Years	\$260.00	\$165.00	\$75.00
5 Years	\$400.00	\$220.00	\$60.00
10 Years	\$700.00	\$350.00	\$50.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.4% over 5 days) is quietly leading — that's the Iran tension trade plus summer demand. Defense-tech and AI infrastructure names remain structurally supported by the current administration's spending priorities.

COOLING OFF: Broader Technology is down 2.4% over 5 days despite today's bounce — the market is getting selective about which AI names it wants to own at these prices. Consumer Staples and Industrials also soft, suggesting rotation out of "boring" into either energy/defense (offensive) or cash (defensive).

ROTATION WATCH: Money is moving toward geopolitically-levered names (energy, defense, cybersecurity) and away from consumer-facing tech. That's a net positive for PLTR's government segment but doesn't help the commercial story.

RELATED PLAY: If you like the "AI for government" thesis but don't want to pay 40x sales, look at the data center and cybersecurity infrastructure layer — companies like CRWD or NET benefit from the same federal AI buildout at more reasonable multiples.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): AI infrastructure play that's benefiting from the same federal spending wave but trades at a much more digestible multiple.
- ANET (Arista Networks): Networking backbone for AI data centers — direct beneficiary of every dollar spent on AI infrastructure, including government.

PLTR CONTEXT: PLTR is sitting at only 26% of its 52-week range (\$106-\$207) — meaning it's closer to the bottom of the year than the top. That's actually informative: the stock topped out earlier this year and has been consolidating for months. It's lagging its AI peers who've been making new highs, which suggests the market is quietly derating the multiple even without a specific catalyst. Not bearish, but not the setup for an imminent breakout either.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$115-120 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Two consecutive quarters of decelerating US government revenue growth, or a major defense budget cut

Hedging: Buy protective puts or pair with a short position in a richly-valued AI peer